Relentless Reinvention

As HCL turns 50, Roshni Nadar Malhotra is steering the group through another reinvention, betting on AI, intellectual property, semiconductors and faster decision-making

BY **PALAK AGARWAL**

THE REAL TEST of a 50-year legacy is the ability to keep reinventing the business. At HCLTech, Chairperson Roshni Nadar Malhotra is steering the company towards new engines of growth in artificial intelligence (AI), intellectual property and technology platforms

HCL's story could have become about heritage, continuity, and preserving an institution built by her father Shiv Nadar. But Nadar's own description of HCL's journey is more about letting go of what no longer works.

HCL began in 1976 as a manufacturing company, building computers for India. Over the decades, its businesses evolved from manufacturing to services, engineering, software, and now increasingly artificial intelligence (AI) and intellectual property (IP). "I don't think of it as legacy. I am just privileged to be here and a part of this journey," she says.

That philosophy is becoming particularly relevant as HCL enters its next phase. At HCLTech, the technology services business, the pressure is to rethink how growth is generated.

Despite global macroeconomic and geopolitical headwinds facing the IT industry, Nadar points to HCLTech's performance over the past three years as evidence of the company's differentiated portfolio. She says the company has remained the fastest-growing large-cap IT services player over that period, while its headcount has remained relatively stable.

AI is beginning to alter one of the traditional equations of the Indian technology-services industry, where more revenue has historically meant more people.

For HCLTech, AI is increasingly about decoupling revenue growth from headcount growth and moving towards outcome-based models. The company has also been investing in platforms and intellectual property, which she believes can create a more scalable business than traditional services. "Services can execute once, I think platforms and IP compound," she says.

The shift is already visible in the company's AI business. HCLTech was one of the early large IT-services companies to report advanced AI revenues that have now crossed $700 million on an annualised basis. The company is simultaneously investing in AI solutions, AI infrastructure, and partnerships across the broader ecosystem.

Some of those bets extend beyond traditional IT services. HCLTech has invested in Sarvam, an Indian AI company, for over a 10% stake, while also foraying into AI data centres. Nadar identifies sovereign AI, IP, software, and AI infrastructure as among the potential growth levers for the next phase.

Nadar aims to become a leading provider of AI solutions for enterprises because she sees enterprise AI as fundamentally different from the consumer AI boom. Businesses, she argues, adopt AI based on measurable outcomes, and deploying it requires changes to networks, architecture, and infrastructure. The pace of adoption may, therefore, look different from the consumer world.

The current period of disruption has reinforced a leadership lesson that speed cannot simply be an operational attribute; it has to become part of decision-making.

The group is also returning to manufacturing, almost completing a circle that began when it was founded five decades ago. Its joint venture with Foxconn, India Chip, is focused on advanced packaging of display driver integrated chips, with full-capacity production expected in 2028.

"What was relevant in 1976 or even what was relevant a couple of years ago is no longer relevant," she says.

Nadar's challenge is to reinvent the business fast enough to ensure that its next 50 years do not look like the last. BT

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